

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

INTERMODAL MOTOR CARRIERS CONFERENCE, AMERICAN
TRUCKING ASSOCIATIONS, INC., *Complainant*

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT ASSOCIATION
INC.; CONSOLIDATED CHASSIS MANAGEMENT, LLC;
CMA CGM S.A.; COSCO SHIPPING LINES CO. LTD.;
EVERGREEN LINE JOINT SERVICE AGREEMENT, FMC NO.
011982; HAPAG-LLOYD AG; HMM CO. LTD.; MAERSK A/S;
MSC MEDITERRANEAN SHIPPING COMPANY S.A.;
OCEAN NETWORK EXPRESS PTE. LTD.; WAN HAI LINES LTD.;
YANG MING MARINE TRANSPORT CORP.; AND
ZIM INTEGRATED SHIPPING SERVICES, *Respondents*.

DOCKET NO. 20-14

Served: June 1, 2021

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON COMPLAINANT’S MOTION TO COMPEL

I. Overview

Complainant Intermodal Motor Carriers Conference, American Trucking Associations, Inc. (“IMCC”) filed a complaint alleging violations of the Shipping Act of 1984, as amended (“Shipping Act”) by Respondents Ocean Carrier Equipment Management Association Inc. (“OCEMA”), Consolidated Chassis Management, LLC (“CCM”), and eleven named ocean carriers. Respondents deny the allegations and raise affirmative defenses.

On May 14, 2021, IMCC filed a motion to compel discovery from non-party intermodal equipment providers Direct ChassisLink, Inc. (“DCLI”), Flexi-Van Leasing, Inc. (“Flexi-Van”), and Interpool, Inc. d/b/a TRAC Intermodal (“TRAC”) (collectively “IEPs”). On May 21, 2021, the IEPs filed an opposition with counterstatements.

On May 24, 2021, IMCC filed a motion for leave to file a reply and its reply. The reply only addresses the limited issue of an amended confidentiality order which was requested on May 21, 2021. The motion for leave to file a reply is **GRANTED** and the reply is considered.

On May 27, 2021, the IEPs filed a motion requesting changes to the Amended Confidentiality Order. That motion is currently pending. The parties and IEPs are encouraged to reach an agreement that fully protects the IEPs’ confidential discovery.

Non-party IEPs object that an “affiliate of the IMCC/ATA, the North American Chassis Pool Cooperative (“NACPC”), directly competes with the IEPs and has long positioned itself to serve as manager of, and enthusiastic participant in, the gray chassis pools that are the subject this proceeding” and that recently NACPC’s President was appointed to Complainant IMCC’s board. Opposition at 3. Thus, the IEPs are concerned about releasing confidential discovery to a competitor.

It is also noted that in the previously denied motion to dismiss and motion for interlocutory appeal, Respondents argued that IEPs were indispensable parties to this proceeding. While not sufficient to justify dismissal of this claim, it is likely that the non-party IEPs have information relevant to this proceeding.

IMCC and the IEPs have worked together to narrow the discovery request and identify the central issues in their discovery dispute.

II. Standard of Review

The Commission’s Rules permit discovery “regarding any nonprivileged matter that is relevant to any party’s claim or defense.” 46 C.F.R. § 502.141(e)(1).

On motion or on its own, the presiding officer may limit the frequency or extent of discovery otherwise allowed by these rules if the presiding officer determines that:

(A) The discovery sought is unreasonably cumulative or duplicative, or can be obtained from some other source that is more convenient, less burdensome, or less expensive;

(B) The party seeking discovery has had ample opportunity to obtain the information by discovery in the action; or

(C) The burden or expense of the proposed discovery outweighs its likely benefit, considering the needs of the proceeding, the amount in controversy, the parties’ resources, the importance of the issues at stake in the action, and the importance of the discovery in resolving the issues.

46 C.F.R. § 502.141(e)(2)(ii). The Commission’s Rules also permit the presiding officer to “issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense.” 46 C.F.R. § 502.141(j). Further, the Commission’s Rules governing the production of documents or electronically stored information provide that parties “must produce the documents as they are kept in the usual course of business or must organize and label them to correspond to the categories in the request” and “need not produce the same electronically stored information in more than one form.” 46 C.F.R. § 502.146(b)(2)(v)(A, C).

“In proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12. Federal Rule of Civil Procedure 45 “governs discovery of non-parties by subpoena.” *In re Apple iPhone Antitrust*

Litig., 2020 U.S. Dist. LEXIS 188670, *11 (N.D.Cal. 2020). A court, on motion, may quash or modify a subpoena if it requires “disclosing a trade secret or other confidential research, development, or commercial information” or may order production under specified conditions if the serving party “shows a substantial need for the testimony or material that cannot be otherwise met without undue hardship” and “ensures that the subpoenaed person will be reasonably compensated.” F.R.C.P. 45(d)(3).

III. Motion to Compel

A. Rulings on Specific Requests

The text of each request at issue is below, followed by IMCC’s arguments, the IEPs’ arguments, and rulings. The IEPs objected to the summary of the IEP response provided by IMCC in the motion and that is not included below, rather the response that IEP provided is included.

Request 1 (All IEPs): Documents and Communications relating to contracts or agreements with Respondent Ocean Carriers (and any amendments thereto) to provide chassis for the transport of Respondent Ocean Carrier containers, including (1) Your responses to requests for proposals from Respondent Ocean Carriers and negotiations thereof, (2) Your proposals to Respondent Ocean Carriers related to the withdrawal of Respondent Ocean Carriers from CCM-managed chassis pools and negotiations thereof, (3) Your analyses of chassis pricing for CH container movements and the effect on such pricing from designating or not designating You as the preferred/default provider for MH container movements and/or allowing or not allowing motor carrier chassis choice for MH movements, and (4) Your analyses of the effects of chassis interoperability or non-interoperability with other chassis providers or chassis pools at ports or inland intermodal terminals on availability operational efficiency and quality of chassis pricing. Documents responsive to this request include Documents submitted to Your board of directors, management, and/or owners, such as strategy memoranda, presentations, and business plans, including with respect to topics (1) – (4). The Relevant Time Period for this Request is from January 1, 2011 to the present.

Complainant’s Argument, Request 1

Relevance: As the Complaint alleges, the IEPs play a central role in the market for chassis provision, and their assessment of the effects on the chassis marketplace of the practices that are the subject of this proceeding are highly relevant. Subparts (1)-(3) of this Request seek the IEPs’ responses to requests for proposals from ocean carriers, and negotiations thereof; IEP proposals to ocean carriers regarding those ocean carriers’ withdrawal from CCM-managed chassis pools, and negotiations thereof; and IEP analyses of chassis pricing for carrier haulage movements, and the effect of such pricing for merchant haulage movements. Subparts (1)-(3) remain directly relevant to allegations in IMCC’s complaint, including that each Respondent ocean carrier has designated an IEP as its default provider for haulage of containers when a motor carrier is billed for usage while awarding the contract based on the price of haulage when the ocean carrier is billed for chassis usage, Compl. ¶¶ 3(e), 47-49; has withdrawn from CCMP Agreement pools and designating single-provider chassis pools as the default provider for all container movements, *id.* ¶¶ 3(d), 51, 78; and has compelled IEPs

to *undercharge* the ocean carrier for carrier haulage movement while *overcharging* for chassis usage for merchant haulage (without fear that the overcharge will cause motor carriers to seek the services of another IEP), thus denying the benefits of chassis choice and price competition to motor carriers, to the benefit of the ocean carrier respondents, *id.* ¶¶ 3(f), 47-49, 78, 80. Subpart (4) of this Request seeks analyses of the effects of chassis interoperability or non-interoperability with other chassis providers or chassis pools. This information is directly relevant to core allegations in the Complaint, including the benefits of interoperable “gray” pools and the harms from single-provider pools. Compl. ¶¶ 39-46, 53-56, 80.

Efforts to Narrow: Because IMCC also seeks documents responsive to subparts (1)-(3) from Respondents, IMCC has proposed that IEPs may postpone responses to these subparts for now, and respond only to subpart (4). As major chassis providers, the IEPs’ views will allow the Presiding Officer to determine the benefits and harms of interoperability and non-interoperability in an efficient manner. IMCC has further narrowed the Relevant Time Period for this Request to January 1, 2016 to the present.

IEPs’ Argument, Request 1:

IMCC’s sole argument on this point is that it seeks this data to present “the benefits and harms of interoperability and non-interoperability in an efficient manner.” As set out above, however, IMCC is in error in believing that this proceeding allows it to impose its views of “efficiency” on the industry, much less that “the IEPs’ views” on the matter are relevant. *See* pp. 3, 8-9, *supra*. The reasonableness inquiry under Section 41102(c) requires a showing that market power has caused competitive harm through specific unreasonable practices; it is not a general inquiry into market efficiency. *Id.* This request also runs afoul of the principle that third parties cannot be required to provide market analysis and observations that are “substantially similar to the kind of market analysis Plaintiffs will need to conduct themselves by retaining (and paying) experts.” *In re Domestic Drywall Antitrust Litigation*, 300 F.R.D. 234, 242 (E.D Pa. 2014). IMCC does not seek information as to specific events and occurrences in dispute, which is sometimes discoverable, *see* Fed. R. Civ. P. 45, *adv. comm. notes*, but rather asks for the IEPs’ general views on efficiencies broadly defined. Courts have protected third parties from acting as unpaid experts, which is essentially the use IMCC seeks to make of the IEPs here. Searching through five years of records for analyses of the efficiencies of various pool structures would also impose a significant burden that the IEPs should not be asked to undertake.

RULING: Motion to compel Request 1 is DENIED.

Subparts (1) and (2) requesting responses to requests for proposals from Respondent Ocean Carriers and proposals to Respondent Ocean Carriers, as well as negotiations thereof, are discoverable from Respondents who are parties to this action. Indeed, IMCC acknowledges that it is seeking documents responsive to subparts (1)-(3) from Respondents. Accordingly, the motion to compel the subpart (1) and (2) requests are denied.

Subparts (3) and (4) seeks analyses of chassis pricing and effects of chassis interoperability. These analyses are relevant to the issues in this proceeding including the chassis market. However, they are also confidential commercial information. As such, the requesting party must show a substantial need for the material that cannot be otherwise met without undue hardship.

Federal courts have found that there is not a substantial need for such market analysis where the party could conduct its own market analysis or hire an expert to conduct an analysis. *In re Apple iPhone Antitrust Litig.*, 2020 U.S. Dist. LEXIS 188670, at *22 (“either competitor is equally capable of analyzing” competition between them); *In re Domestic Drywall Antitrust Litigation*, 300 F.R.D. at 242 (analysis in market reports “is substantially similar to the kind of market analysis Plaintiffs will need to conduct themselves by retaining (and paying) experts”; *In re eBay Seller*, 2009 U.S. Dist. LEXIS 123714, at *9-10 (W.D. Wash. 2009) (“eBay does not have a substantial need to force Amazon to turn over market analyses that eBay could conduct on its own.”). *But see N.M. Oncology & Hematology Consultants, Ltd. v. Presbyterian Healthcare Servs.*, 2016 U.S. Dist. LEXIS 61649, at *11-12 (D.N.M. 2016) (requiring disclosure of documents which reveal their general analysis of the market and prior, but not future, business plans).

The IEPs are non-parties who object to releasing market analysis to IMCC which includes a direct competitor. Although relevant to this proceeding, that market analysis contains confidential commercial information. IMCC has not provided a basis to find that it is unable to conduct this type of market analysis on its own or with the help of experts. Accordingly, the motion to compel the subpart (3) and (4) requests are denied.

Request 2 (All IEPs): Documents and/or data sufficient to show for each port or inland intermodal terminal at which You provide chassis for Respondent Ocean Carriers: (1) the number of Respondent Ocean Carrier container movements that utilize chassis provided by You that are CH movements; (2) the number of Respondent Ocean Carrier container movements that utilize chassis provided by You that are MH movements; (3) the number of Respondent Ocean Carrier MH container movements that do not utilize a chassis provided under Your contracts with Respondent Ocean Carrier; (4); the average and median age of Your chassis; and (5) Your daily rental prices and amendments and updates thereto for chassis used in MH movements. Documents and/or data responsive to categories (1), (2), and (3) may be provided in a format that aggregates such data no less frequently than monthly by any Respondent Ocean Carrier. Documents and/or data responsive to category (4) may be provided in a format that aggregates such data no less frequently than semiannually by port and inland intermodal terminal. The Relevant Time Period for this Request is from January 1, 2015 to the present.

Complainant’s Argument, Request 2:

Relevance: The requested data is directly relevant to the question of market definition, which the Presiding Officer has identified as an area of inquiry. *See Order Denying Mot. for Leave to File Interlocutory Appeal*, Dkt. 24, at 6 (“The parties may want to consider the appropriate scope of the relevant market, whether there are multiple relevant markets, and the harm to

competition”). Particularly because the IEPs are the dominant chassis providers in the U.S., their statistical analyses and assessments of the trends in chassis usage are highly relevant to the existence of potential product submarkets in the provision of chassis and the existence of alternatives (e.g., chassis ownership, leasing, and daily rentals). Further, market-level aggregated data and analyses are uniquely within the IEPs’ possession and thus discovery of that information would allow discovery to proceed expeditiously.

Efforts to Narrow: IMCC has narrowed this Request by seeking documents only as they are kept in the ordinary course of business, and narrowed by the four relevant geographies. IMCC has further narrowed the Relevant Time Period for this Request to January 1, 2016 to the present. The IEPs are the most efficient source of discovery because, as the Respondent ocean carriers’ default chassis providers, they have the best access to information regarding chassis provision and movements in the four relevant geographies (or, if unavailable, nationally), and they collect this information in the ordinary course of their business.

IEPs’ Argument, Request 2:

Once again IMCC is not seeking information that directly pertains to the acts, omissions, or conduct of the Respondents they are suing, but rather is seeking discovery from non-parties into broad and general matters such as “statistical analyses and assessments of the trends in chassis usage” and “information regarding chassis provision and movements.” They assert that this information will, in some unexplained way, help them assess market definition or “potential product submarkets,” but these assertions are makeweight—IMCC’s complaint does not even use the words “market” or “submarket.” The information sought is about the IEPs’ businesses, which are not the subject of the complaint. It is of more obvious potential competitive use to NACPC than relevance to IMCC’s case.

IMCC also cannot argue that this information about container and merchant haulage is not available from the Respondent ocean carriers and IMCC’s own trucker members and affiliates. To the contrary, IMCC’s statement that the IEPs are the “most efficient source” for this information, also unexplained, implicitly concedes that there are other sources. IMCC has not justified the burden on the IEPs of collecting and producing this information, particularly given its failure to establish even the most remote relevance of this information to its claims.

RULING: The motion to compel Request 2 is GRANTED in part and DENIED in part.

Unlike the last subparts of the prior request, which sought analysis, this request also seeks historical factual data, including the number of CH and MH movements utilizing IEP chassis, the number of MH movements not utilizing IEP chassis, the average and median age of the IEPs’ chassis, and the IEPs’ daily rental prices. Due to the difficulty in providing this data, the parties discussed providing trends or annual summaries. *See* Motion, Exhibit 5 at 4. IMCC also argues that the IEPs’ statistical analyses and assessments of the trends are relevant.

The information requested, including historical factual data and analysis, is relevant to the chassis market and is confidential commercial information. The question, then, is whether this information is available from other sources and whether IMCC has a substantial need for it. For the reasons discussed above regarding Request 1, the IEPs' statistical analysis and assessments will not be compelled.

Regarding the historical factual data, while the Respondents, including eleven ocean carriers and IMCC truckers, may have pieces of this information, the information would be piecemeal and likely incomplete. Although the IEPs are non-parties, they are the only entities likely to have comprehensive and reliable data. Without reliable data, any analysis the parties seek to complete could be similarly unreliable. Therefore, comprehensive and reliable data is not available from other sources.

The next issue is substantial need. Federal courts have found that there is substantial need for such market data. *In re Apple iPhone Antitrust Litig.*, 2020 U.S. Dist. LEXIS 188670, at *32 (requiring disclosure of the number of apps downloaded and noting that information about past performance “would not contain strategic assessments or forward-looking documents that would create a risk of competitive harm”); *In re Domestic Drywall Antitrust Litigation*, 300 F.R.D. at 249 (permitting discovery of some reports and investigative files while protecting the names of confidential sources); *In re eBay Seller*, 2009 U.S. Dist. LEXIS 123714, at *4 (“The court has already ordered Amazon to produce a host of objective information about its third-party sales platforms and its payment systems.”). *But see N.M. Oncology*, 2016 U.S. Dist. LEXIS 61649, at *10 (refusing discovery of claims data and “highly confidential patient data” protected by HIPAA).

The IEPs are non-parties who object to releasing historical utilization, age, and rental price data to IMCC, which includes a direct competitor. Although relevant to this proceeding, that data contains confidential commercial information. IMCC has established a substantial need for this information which is not available elsewhere in a comprehensive or reliable fashion. This information is not forward-looking and does not include strategic analysis. Moreover, IMCC has narrowed the request to documents kept in the ordinary course of business, in the four relevant geographies, over a shorter time period. The parties may exchange the data as trends or annual summaries. Accordingly, the motion to compel the historical factual data requested in Request 2, as narrowed by IMCC, is granted.

As discussed above regarding Request 1, the IEPs' statistical analysis and assessments will not be compelled, only the historical factual data sought in this request. Moreover, as confidential commercial information, this data is entitled to protection under the parties' protective order. It is anticipated that this information would be most useful to outside counsel and experts. The IEPs' motion to modify the amended confidentiality order is pending and the parties are encouraged to reach an agreement that fully protects the IEPs' confidential discovery.

Request 3 (All IEPs): Documents sufficient to show Your discounts, if any, below daily rental prices provided to motor carriers for chassis to be utilized for MH movements at each port or inland intermodal terminal at which You provide chassis for Respondent Ocean Carriers, including Your reasons and strategy for providing such discounts. Documents responsive to this request include Documents submitted to Your board of directors, management, and/or owners, including strategy memoranda, presentations, and business plans and contracts including such discounts, if any. The Relevant Time Period for this Request is from January 1, 2015 to the present.

Complainant's Argument, Request 3:

Relevance: The IEPs do not appear to dispute the relevance of Request 3.

Efforts to Narrow: The IMCC agrees to the scope offered by the IEPs, but not to a response in a "narrative format." IMCC requests that the IEPs provide responsive documents and documents sufficient to show their published rates for daily chassis rentals from January 1, 2016 to present, as maintained in the ordinary course of business.

IEPs' Arguments, Request 3:

The IEPs have offered to provide their published rates for daily chassis rentals for the last five years in the agreed upon areas, which is the information now sought by this request. Because they do not keep it in a readily accessible form going back for five years in the ordinary course of their business, it is more efficient for all the parties to provide it in an admissible narrative form. IMCC objects to this but does not state why. The IEPs should be permitted to provide the data in the efficient manner they have proposed rather than in a more burdensome one.

RULING: The motion to compel Request 3 is GRANTED in part and DENIED in part.

The IEPs have offered to provide their published rates for daily chassis rentals for the last five years in the agreed upon areas in narrative form. IMCC requests that the IEPs provide responsive documents sufficient to show their published rates as maintained in the ordinary course of business.

The factual data requested, including published rates, is discoverable. However, the initial request for reasons and strategy would be analysis that is not discoverable. The Commission's Rules permit a request to produce documents including data or data compilations "stored in any medium from which information can be obtained either directly or, if necessary, after translation by the responding party into a reasonably usable form." 46 C.F.R. § 502.146(a)(1)(i). Accordingly, the IEPs should produce the discoverable factual data as maintained in the ordinary course of business unless the parties can agree to a reasonably usable form.

Request 4 (All IEPs): Documents and Communications related to Flexi-Van Leasing, Inc. and Direct ChassisLink, Inc.'s January 2014 request for a Department of Justice Antitrust Division Business Review Letter.

Complainant's Argument, Request 4:

Relevance: Documents responsive to this Request are relevant to the claimed benefits of interoperable “gray” pools like the Pool-of-Pools in Los Angeles/Long Beach. Compl. ¶ 55. See Dep’t of Justice, Response to Flexi-Van Leasing, Inc. and Direct ChassisLink, Inc. Request for Business Review (Sept. 23, 2014) (“You represent that the increased flexibility created by the interchangeability will enhance customer service, improve chassis productivity and respond to the desire of LA/LB port authorities to achieve better overall utilization of the region’s chassis fleets.”). The IEPs’ view of the benefits of interoperability will assist the Presiding Officer in determining whether the Respondents’ conduct in ports and inland intermodal terminals is unjust and unreasonable. See Order Denying Mot. to Dismiss, Dkt. 17, at 5.

Efforts to Narrow: IMCC seeks only the IEPs’ submissions to the Department of Justice, which are not privileged, not the IEPs’ internal communications regarding the Business Review Letter. IMCC has stated its willingness to work with the IEPs on sworn affidavits containing statements of fact admissible in this Proceeding to satisfy this Request, such as the information and charts set forth on the Pool-of-Pools website regarding the benefits of the Pool-of-Pools. See Compl. ¶¶ 27, 55-56.

IEPs’ Arguments, Request 4:

For the reasons set out above, IMCC has not justified seeking this information as to the asserted efficiencies of pools that are not the subject of their complaint, and the burden of pulling and producing multiple submissions to the Justice Department over a period of many months more than seven years ago cannot be justified given the lack of relevance of this information.

With respect to the operation of the Pool-of-Pools more generally, which is a different request from what was provided to Justice, to the extent they are relevant to IMCC’s claims against Respondents the IEPs have advised IMCC that they are willing to work with counsel on admissible declarations in lieu of discovery if requests are made in writing and contain the precise declarations requested. Exh. 7, at 3. They have also stated that these declarations would go beyond authentication and address declarations as to facts and events, *id.*, so IMCC’s assertion that the IEPs have refused to do so is false. The cited information and charts set forth on the Pool-of-Pools website appear to fall within this offer.

RULING: The motion to compel Request 4 is GRANTED.

IMCC seeks the IEPs’ submissions to the Department of Justice, which are not privileged, not the IEPs’ internal communications regarding the Business Review Letter. The non-party IEPs object to the burden and relevance of multiple submissions to the Justice Department over a period of many months more than seven years ago.

The age of the documents and the fact that they were provided to the Department of Justice means that these documents are less commercially sensitive than the other

documents at issue in this motion. Moreover, these documents would not be available from a party to the proceeding. These documents are relevant to understanding the chassis markets, benefits of interoperability, and operation of the Pool-of-Pools more generally. Accordingly, the motion to compel Request 4 is granted.

Request 6 (Flexi/TRAC), Request 7 (DCLI): Documents sufficient to show the operation of the Pool-of-Pools, including (1) the system for financial settlement among participating POP chassis contributors, (2) the billing for chassis usage in the Pool-of-Pools by chassis contributors, (3) the quality of chassis contributed to the Pool-of-Pools and maintenance of roadability, (4) the eligibility of an Additional Chassis Contributor to participate as a chassis contributor to the Pool-of-Pools, (5) the entities responsible for the administration of the Pool-of-Pools, and (6) any decisions or votes by participants in the Pool-of-Pools to allow or not allow the institution of motor carrier chassis choice on MH movements. Documents responsive to this request include agreements, manuals, and procedures, including any amendments thereto. The Relevant Time Period for this Request is from January 1, 2014 to the present.

Complainant's Argument, Request 6 (Flexi/TRAC), Request 7 (DCLI):

Relevance: Documents responsive to this Request concern whether the IEPs' and Respondents' conduct at non-CCMP ports affects chassis availability, and thus shippers' ability to obtain their containers from ports. *See* Order Denying Mot. to Dismiss, Dkt. 17, at 5. Specifically, these documents will further address whether the IEPs' Pool-of-Pool procedures, including those implementing ocean carrier "box rules," which prevent freedom of chassis choice by assigning chassis usage and reimbursement to the ocean carrier's designated IEP rather than to competing chassis providers. Compl. ¶¶ 50, 56.

Efforts to Narrow: IMCC has narrowed this Request by seeking only documents sufficient to show the operation of the Pool-of-Pools, including policies, rules, manuals, and documents showing Pool-of-Pools operations from January 1, 2016 to the present. In the alternative, IMCC has stated its willingness to work with the IEPs on sworn affidavits containing statements of fact admissible in this Proceeding covering the matters set forth in this request, such as the Respondent ocean carriers' rules utilized by the IEPs to assign usage and bill chassis in the Pool-of-Pools (Compl. ¶ 56, quoting TRAC Intermodal website), affirming the validity of the statements and graphics on the Pool-of-Pools website (Compl. ¶ 55), and as to the procedures for assignment of chassis usage by individual IEP. Compl. ¶ 56 ("Chassis Provider/Ocean Liner company Matrix").

IEPs' Arguments, Request 6 (Flexi/TRAC), Request 7 (DCLI):

IMCC states above, at p. 6, that it has "expressed its willingness to limit the scope" of its requests to "information about Pool-of-Pool box rules and participation rules." In this Request, however, IMCC describes the narrowing as including "policies, rules, manuals, and documents showing Pool-of-Pools operations from January 1, 2016 to the present," which goes beyond simply the box rules and the alleged participation requirement. Whatever IMCC's intent, the IEPs believe that the request should be limited to the two categories of box rules and the alleged participation rules, as those are the rules addressed in the Complaint. *See* Compl. ¶¶ 3(c), 50, 56, 58-59.

IMCC also continues to mischaracterize these rules as “Respondent ocean carriers’ rules,” suggesting that they are merely “utilized by the IEPs” rather than having been adopted by the IEPs themselves as the rules governing their own pools. To repeat, the Pool-of-Pools pools were established by, and are operated by, the IEPs, *not* the Respondents. The IEPs have made that clear throughout the meet and confer process, but IMCC has continued to misstate that they are Respondents’ rules not the IEPs’ rules.

To accommodate IMCC as to what might be potentially relevant on this Request, however, the IEPs have offered to search for and provide any evidence that the rules were not adopted as a matter of the IEPs’ independent business judgment, but rather were forced on the IEPs as an exercise of market power by the Respondents. This offer is consistent with relevant precedent. *See, e.g. In re Mushroom Direct Master File Purchaser Antitrust Litigation*, 2007-2 Trade Cases P 75,939, 2007 WL 3342393, at *2 [2007 U.S. Dist. LEXIS 83284] (E.D Pa. 2007) (noting “the stronger showing of relevance required for non-party discovery,” and allowing limited discovery from nonparties as to “whether any third parties conspired with [a party] or any of its members to violate the antitrust laws,” and “whether any parties were coerced, threatened or pressured by defendants to participate, join or conspire with the [defendant cooperative] or any of its members to violate the antitrust laws.”) If there is no such evidence as to any or all of the IEPs, each IEP will provide a declaration to that effect. Any information sought beyond that is irrelevant.

RULING: The motion to compel Request 6 (Flexi/TRAC) and Request 7 (DCLI) is GRANTED in part and DENIED in part.

IMCC has narrowed this request by seeking only documents sufficient to show the operation of the Pool-of-Pools, including policies, rules, manuals, and documents showing Pool-of-Pools operations from January 1, 2016 to the present. The IEPs believe that the request should be limited to the two categories of box rules and the alleged participation rules, however, they have offered to search for and provide any evidence that the rules were not adopted as a matter of the IEPs’ independent business judgment, but rather were forced on the IEPs as an exercise of market power by the Respondents.

The Pool-of-Pools are relevant to the chassis market and as such, documents showing the operation of the Pool-of-Pools, including policies, rules, manuals, and documents showing Pool-of-Pools operations, are relevant to the proceeding. However, the IEPs are non-parties and it is appropriate to limit the burden on them. Therefore, only documents regarding the box rules and the participation rules will be required to be produced as those are the documents most relevant to the issues raised in the complaint.

Request 8 (Flexi/TRAC), Request 9 (DCLI): Documents sufficient to show Your analyses of the benefits and harms of establishing and/or disestablishing interoperable chassis pools at each port or inland intermodal terminal at which You provide chassis for Respondent Ocean Carriers, including pools managed by CCM. Documents responsive to this request include Documents submitted to Your board of directors, management, and/or owners, including strategy

memoranda, presentations, and business plans. The Relevant Time Period for this Request is from January 1, 2015 to the present.

Complainant's Argument, Request 8 (Flexi/TRAC), Request 9 (DCLI):

Relevance: Documents responsive to this Request are relevant to show the benefits and harms of establishing and/or disestablishing interoperable chassis pools. Compl. ¶¶ 39-42. Evidence of key market participants' assessments of benefits and/or harms of interoperable chassis pools would provide highly probative evidence of the effects of Respondents' conduct, such as chassis choice restrictions and withdrawal from interoperable chassis pools, on chassis availability in ports and inland intermodal terminals, and thus shippers' ability to obtain their containers from ports. See Order Denying Mot. to Dismiss, Dkt. 17, at 5.

Efforts to Narrow: IMCC has narrowed this Request by seeking only documents "sufficient to show" the requested information, including documents submitted to an IEP's board of directors, management, and/or owners, including strategy memoranda, presentations, and business plans. As major chassis providers, the IEPs' views will provide relevant evidence of the benefits and harms of interoperability and non-interoperability that would not be in any Party's possession. IMCC has narrowed the Relevant Time Period for this Request to January 1, 2016 to the present.

IEPs' Arguments, Request 8 (Flexi/TRAC), Request 9 (DCLI):

This is the third, separate request in which IMCC seeks general information on the benefits and harms of interoperable, or "gray," chassis pools, rather than information on Respondents' pools that are the subject of this proceeding. It also again impermissibly seeks internal market analyses and strategic planning information of utmost sensitivity to the IEPs, individually and collectively. For the reasons stated above as to similar or identical requests, IMCC has not justified the burden on the IEPs of collecting and producing this information.

RULING: The motion to compel Request 8 (Flexi/TRAC) and Request 9 (DCLI) is DENIED.

This request includes strategy memoranda, presentations, and business plans and seeks non-party IEPs' analysis. This information is relevant, however it is confidential commercial information. IMCC has not established that it has a substantial need for this information, similar to the information requested in Request 1. Accordingly, the motion to compel this request is denied.

B. Costs

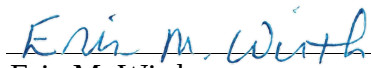
The IEPs discuss Federal Rule 45's cost-shifting provision, stating that they "reserve their rights to seek such compensation depending on the scope of the discovery ultimately undertaken." Opposition at 3 n.4.

Federal Rule 45 provides that a court must “protect a person who is neither a party nor a party’s officer from significant expense resulting from compliance” when issuing “an order compelling production or inspection” of documents upon motion of “the serving party.” Fed. R. Civ. P. 45(d)(2)(B); see *United States ex rel. Simpson v. Bayer A.G.*, 2021 U.S. Dist. LEXIS 20138, at *17 (D.N.J. Feb. 2, 2021). “Absent an order, a non-party bears its own production expenses.” *McCabe v. Ernst & Young, LLP*, 221 F.R.D. 423, 425 (D.N.J. 2004). Under Rule 45, “the questions before the district court are whether the subpoena imposes expenses on the non-party, and whether those expenses are ‘significant.’” *Linder v. Calero-Portocarrero*, 251 F.3d 178, 182 (2001). The advisory committee’s notes state that the court “is not required to fix the costs in advance of production, although this will often be the most satisfactory accommodation to protect the party seeking discovery from excessive costs” and in “some instances, it may be preferable to leave uncertain costs to be determined after the materials have been produced, provided that the risk of uncertainty is fully disclosed to the discovering party.” Fed. R. Civ. P. 45 advisory committee’s note to 1991 amendment; *Rhea v. Apache Corp.*, 833 F. App’x 186, 190-91 (10th Cir. 2020). The parties have not provided any caselaw where the Commission has imposed such costs under this rule.

The filings *sub judice* do not support a finding that the requested discovery imposes costs that are “significant” and therefore do not support cost-shifting at this point. The parties and non-parties are encouraged to continue working together to resolve discovery disputes in a cost-effective manner.

IV. ORDER

For the reasons stated above, it is hereby **ORDERED** that Complainants’ Motion to Compel be **GRANTED in part and DENIED in part**.


Erin M. Wirth
Chief Administrative Law Judge